Shipping long/short: research note

Public data is priced by Friday. The edge is in the ships.

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What was tested

A market-neutral long/short book in 54 New York- and Oslo-listed shipping companies (dry bulk, tankers, containers, gas), 2011 to October 2026, with merged, bankrupt and reclassified companies kept in. Three segment-neutral sleeves: pairs; factor ranks (book-to-market, balance-sheet strength, freight-beta momentum); and fading moves out of line with each stock's freight sensitivity. Costs, borrow, dividends on shorts, NOK currency, liquidity caps and a SPY beta hedge are included. Parameters were chosen year by year on past data; every variant was logged; the 2023-2026 holdout was pre-registered in git and run once.

Results

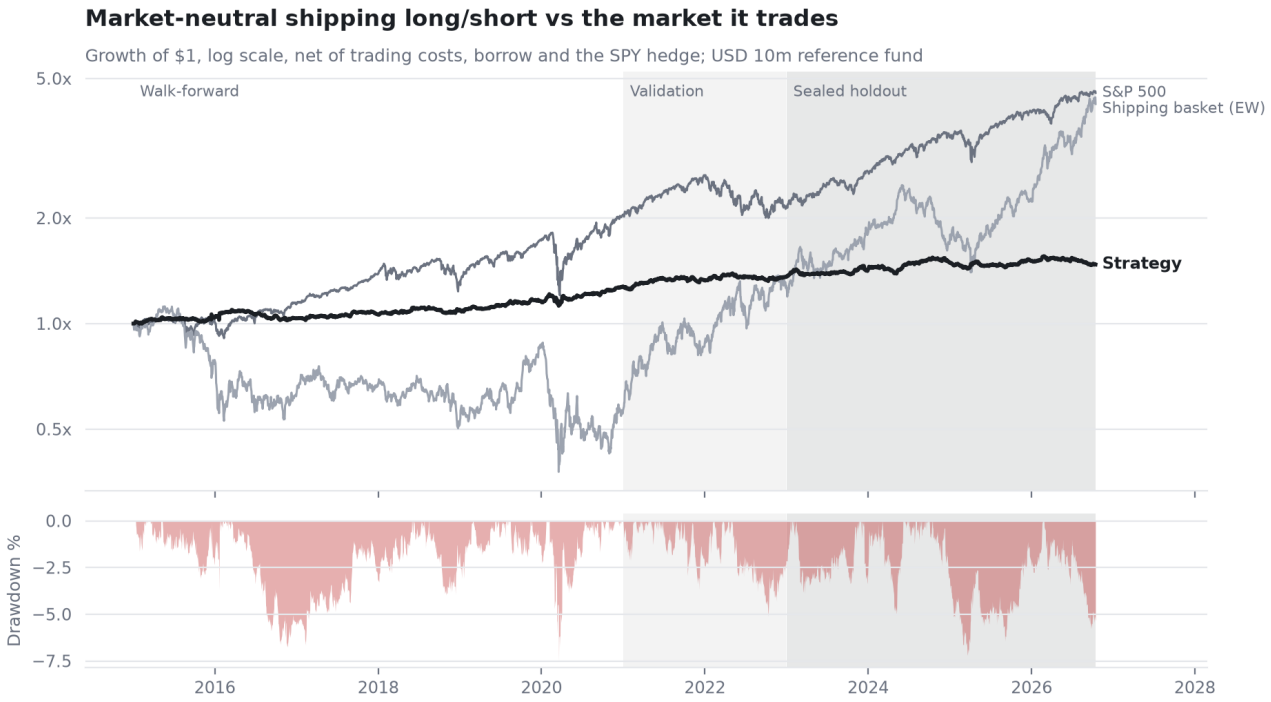


Figure 4. Strategy vs S&P; 500 and the equal-weight shipping basket, net of costs.

Period	Sharpe	Return p.a.	Volatility	Max drawdown	Beta
Walk-forward 2014-2020	0.70	3.6%	5.2%	-7.5%	0.03
Validation 2021-2022	0.61	3.3%	5.5%	-5.1%	0.01
Sealed holdout 2023 - Oct 2026	0.42	2.1%	5.3%	-7.2%	-0.01

Findings

1. **Freight is priced within the week.** Equity baskets and Baltic indices move together (weekly correlation about 0.35); freight does not predict next month's dry bulk returns.
2. **Within-segment cheapness and freight-unexplained dislocations earn a small, market-neutral return.** Balance-sheet strength works in dry bulk and reverses among container owners; a pre-registered "balance sheet as option strike" hypothesis was rejected.
3. **Capacity binds.** Sharpe about 0.8 at USD 2m, 0.6 at USD 25m, 0.45 at USD 50m; dollar alpha plateaus below USD 1m a year.
4. **Not significant after the search.** Deflated-Sharpe probability 0.31 over 27 logged trials.
5. **Stress:** +4.4% in the 2016 trough (basket -36%), +5.3% through the Red Sea disruption, -5.0% in the 2026 Hormuz crisis.

Implication and next step

If public freight data is priced within days, a durable edge must come from company-specific operating information that reaches the market late. FleetWatch maps about 1,000 ships to their 21 listed owners from the companies' own filings and tracks them hourly via AIS: idle share, laden share and regional exposure by owner. Every estimate is committed to the public repository before the company reports; the first scored season is Q4 2026 (February 2027).

Limitations

Small, illiquid universe; book value stands in for net asset value; borrow modelled, not observed; several bankruptcies and four recycled-ticker mergers lack free price history; Oslo- only names lack machine-readable fundamentals; terrestrial AIS loses ships mid-ocean.